GCE AS MARKING SCHEME

PRACTICE PAPER 3 (HARD)

AS ECONOMICS - COMPONENT 2

B520U20-1

GENERAL MARKING GUIDANCE

Positive Marking

Credit should be given for what the learner writes, rather than penalising omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme.

Each question has indicative content suggesting the range of economic concepts, theory, issues and arguments which might be included. This is not exhaustive and learners do not have to include all the indicative content to reach the highest level. Level-based mark schemes sub-divide the total mark across individual assessment objectives.

EDUQAS GCE AS ECONOMICS - COMPONENT 2

PRACTICE PAPER 3 (HARD) MARK SCHEME

Q.1 (a) Using a diagram, outline the likely impact of mass automation on the wages of low-skilled UK workers. [4]

Band	AO1 (2 marks) Is the diagram accurate and used?	AO1 (2 marks) Is understanding of the reason clear?
2	**2 marks — Good understanding** Strong use of labour market diagram showing leftward shift in demand for low-skilled labour, leading to lower wages (W1 to W2). No meaningful errors.	**2 marks — Good understanding** Clear and detailed understanding of why demand for low-skilled labour falls as automation substitutes for routine human tasks.
1	**1 mark — Limited** Weaker diagram with labelling errors or limited scope.	**1 mark — Limited** Of why demand or supply of labour changes.
0	**0 marks** Diagram is not valid.	**0 marks** No valid understanding.

Indicative content:

AO1: Automation substitutes machines and software for routine human tasks (checkouts, warehouse picking, basic data entry). The derived demand for low-skilled labour shifts left from D1 to D2. With supply of low-skilled labour relatively inelastic (limited alternative jobs in the short run), wages fall significantly from W1 to W2 with a fall in employment from Q1 to Q2.

Alternative: an increase in supply of low-skilled labour (displaced workers competing for fewer roles), pushing wages down further, is also creditable. Argument that automation could complement high-skilled labour (raising those wages) may be credited if clearly distinguished from low-skilled wages. Wages may not fall below the National Living Wage if this is shown on the diagram.

Q.1 (b) Discuss the likely cross elasticity of demand between robotic capital equipment and unskilled labour. [6]

Band	AO1 (2 marks) Is XED understood?	AO3 (2 marks) Is the reasoning explained?	AO4 (2 marks) Is the answer debated and judged?
2	**2 marks — Good** Of XED in terms of substitutes (positive) or complements (negative). Note: the question concerns the price of robotic capital and quantity of unskilled labour demanded — substitutes give positive XED, complements negative.	**2 marks — Good** Developed analysis explaining why robots and unskilled labour are substitutes (or complements at early adoption).	**2 marks — Good** Reasoned judgement on the likely XED and strength. Counter argument present and developed.
1	**1 mark — Limited** Partial understanding (e.g. formula only).	**1 mark — Limited** Underdeveloped chain of reasoning.	**1 mark — Limited** Counterargument present but no overall judgement.
0	**0 marks**	**0 marks**	**0 marks**

Indicative content:

AO1: Cross elasticity of demand (XED) measures the percentage change in quantity demanded for one good after a change in the price of another. Substitutes have a positive XED, complements have a negative XED. In this case the question concerns the percentage change in demand for unskilled labour after a change in the price of robotic capital.

AO3: In mature automated industries (e.g. car manufacturing, supermarket self-checkout, large-scale warehousing), robots and unskilled labour are substitutes. As the price of robotic capital falls (Moore's Law, scale economies, cheaper sensors), firms substitute robots for unskilled workers — demand for unskilled labour falls. This gives a positive XED (both move in opposite directions of price but in the same direction relative to substitution). However, at the early adoption stage robots and labour can act as complements — robots need human operators, maintenance technicians and supervisors, so cheaper robots can initially raise demand for some unskilled roles (loading, monitoring), suggesting a negative XED.

Markers note: in the WJEC convention 'positive XED = substitutes; negative XED = complements', the same convention applies here. The substitution case should be the main argument.

AO4: The strength of XED depends on (1) the technical feasibility of robotic substitution — many service roles (care, hospitality) remain hard to automate, so XED is weak; (2) the size of the price fall in robotics — small falls have limited effect, large falls trigger rapid adoption; (3) the time period — XED is more elastic in the long run as firms reconfigure production lines; (4) the cost of unskilled labour relative to robots — at the UK National Living Wage of £11.44/hour, automation becomes attractive sooner; (5) availability of complementary skills (engineers to service robots) — without these, automation may stall. Overall, XED is likely to be weak positive in the short run (limited substitution due to integration costs and skill gaps) but stronger positive in the long run as AI and robotics mature.

Q.1 (c) Using Table 1, explain how UK productivity-enhancing investment can lead to the benefits of the multiplier effect. [6]

Band	AO1 (2 marks) Multiplier effect understood?	AO2 (2 marks) Answer in context?	AO3 (2 marks) How benefits are gained?
2	**2 — Good** Multiplier as a bigger final increase in GDP than initial injection.	**2 — Good application** Effective use of data (£127bn investment, £88bn GVA, 34,000 + 53,000 jobs, 95% UK contracts, 60% SMEs).	**2 — Good analysis** Developed analysis of how the benefits flow through.
1	**1 — Limited**	**1 — Limited** Limited reference to data.	**1 — Limited** Chain of reasoning underdeveloped.
0	**0**	**0**	**0**

Indicative content:

AO1: The multiplier effect occurs when an initial injection causes a bigger final increase in national income/real GDP. The size of the multiplier depends on the marginal propensities to consume, save, tax and import.

AO2: £127bn announced public investment is the initial injection. £88bn estimated GVA over 60 years. 34,000 direct construction jobs plus 53,000 indirect supply-chain jobs (87,000 total). 95% of contracts to UK firms. 60% of suppliers are SMEs. 32-minute journey time saving London–Manchester. Cost overrun of 220% on HS2.

AO3: The £127bn injection into rail and levelling-up projects directly raises construction sector output (34,000 jobs). These workers earn wages, which they spend on goods and services in local communities — generating second-round income for retailers, restaurants and service firms (this creates the 53,000 indirect jobs). Because 95% of contracts go to UK firms, leakages from imports are minimised, keeping more spending domestically. 60% SME suppliers tend to have lower import propensities than multinationals, further reducing leakage. Improved transport links from HS2 cut London–Manchester journey times by 32 minutes, raising long-run labour productivity and creating supply-side multiplier benefits in addition to short-run demand-side effects. Note however that the GVA estimate of £88bn has been revised down, suggesting the realised multiplier may be smaller than originally expected, given the +220% HS2 cost overrun.

Q.1 (d) Evaluate whether supply-side reforms are better than demand-side stimulus to address the UK productivity puzzle and reduce market failure. [10]

Band	AO1 (3 marks) Understanding	AO3 (3 marks) Analysis	AO4 (4 marks) Debate and judgement
3	**3 — Excellent** Of supply-side **AND** demand-side policy.	**3 — Excellent** Well-developed analysis of both, linked to productivity failure.	**4 — Excellent** Reasoned judgement with developed counter arguments.
2	**2 — Good** Of supply-side OR demand-side policy.	**2 — Good** Developed analysis of either or both.	**2-3 — Good** Counter arguments developed.
1	**1 — Limited**	**1 — Limited** Underdeveloped or unfocused.	**1 — Limited** Counterarguments superficial.
0	**0**	**0**	**0**

Indicative content:

AO1: Supply-side reforms aim to improve the productive capacity of the economy — examples include tax reliefs for R&D;, deregulation of planning, vocational qualifications (T-levels), and labour market flexibility. Demand-side stimulus uses fiscal or monetary policy to boost aggregate demand — e.g. looser monetary policy or infrastructure spending such as HS2. The UK 'productivity puzzle' is the failure of output per hour to grow at its pre-2007 trend rate of 2.3% per year — this is a form of market failure (under-provision of training, R&D; and infrastructure due to externalities and information asymmetries).

AO3 — Supply-side: Tax reliefs for R&D; internalise the positive externality of innovation (firms underinvest because spillovers benefit competitors). Planning reform enables firms to expand and locate near skilled workers, reducing geographic immobility. Improved vocational training (T-levels) closes skill gaps, raising labour productivity in the long run. These directly target the structural causes of weak productivity.
Demand-side: Infrastructure spending such as HS2 (£127bn) raises AD in the short run via the multiplier, while also delivering supply-side benefits (faster transport, reduced geographic immobility, 32-min London–Manchester saving). Looser monetary policy (low interest rates) reduces the cost of capital, encouraging investment in productive machinery — addressing the UK's low business investment (one of the structural causes of the puzzle).

AO4 — Supply-side weaknesses: Long time lags — T-level reform takes 5+ years to feed through. R&D; tax credits can be captured by large firms doing little additional R&D; (free rider problem). Planning deregulation may worsen externalities (traffic, biodiversity loss). Equity concerns — reforms benefit firms and skilled workers more than low-paid workers.
Demand-side weaknesses: HS2's 220% cost overrun and downwards revision of GVA to £88bn shows that public infrastructure projects often deliver poor value for money (allocative inefficiency / government failure). Monetary stimulus risks demand-pull inflation without productivity growth. Demand-side stimulus does not address structural problems like the long tail of low-productivity firms.
Judgement: The UK productivity puzzle is fundamentally a supply-side problem — flatlining output per hour cannot be solved by demand stimulus, only by raising productive capacity. Supply-side reform is therefore more effective in the long run for reducing the underlying market failures (under-provision of training, R&D;, capital deepening). However, well-targeted demand-side investment (especially infrastructure) can complement supply-side reform when it generates productivity spillovers. The best policy mix is supply-side reform supported by selective infrastructure investment — but with rigorous cost-benefit analysis to avoid the HS2-style government failure.

Q.1 (e)(i) Define 'government failure' and explain why major UK infrastructure projects such as HS2 could be considered an example of government failure. [4]

Band	AO1 (2 marks) Government failure understood?	AO3 (2 marks) Explanation clear?
2	**2 — Good** Government intervention to correct market failure creating net welfare loss.	**2 — Good** Developed analysis of how HS2 could create net welfare loss.
1	**1 — Limited**	**1 — Limited** Underdeveloped chain of reasoning.
0	**0**	**0**

Indicative content:

AO1: Government failure occurs when government intervention designed to correct market failure creates a net welfare loss greater than the original failure.

AO3: HS2 was intended to correct several market failures — under-provision of transport infrastructure (a quasi-public good with positive externalities), regional inequality (geographic immobility), and the negative externalities of congestion on existing lines. However, the project shows several characteristics of government failure: (1) Information failure — original 2013 forecasts of cost and benefit proved wildly inaccurate, with costs exceeding the original budget by 220%. The estimated GVA has been revised down to £88bn, suggesting the net welfare benefit may now be below the £127bn cost. (2) Unintended consequences — communities along the route have suffered noise, disruption and falling property values. (3) Regulatory capture and political incentives — phases of HS2 have been retained for political reasons even after cost-benefit analysis turned negative. (4) Opportunity cost — the £127bn could have funded alternative productivity-enhancing investment with higher returns (e.g. local transport, broadband, FE colleges). When the net welfare loss from these failures exceeds the original market failure, HS2 constitutes government failure.

Q.1 (e)(ii) Using the data, assess the extent to which the UK's productivity-enhancing investment programme would be positive for the short run and long run macroeconomic performance of the UK. [10]

Band	AO2 (3 marks) In context?	AO3 (3 marks) Consequences explained?	AO4 (4 marks) Debated and judged?
3	**3 — Excellent** Thorough use of data.	**3 — Excellent** Both short and long run, demand and supply side.	**4 — Excellent** Reasoned judgement, counter arguments developed.
2	**2 — Good**	**2 — Good** Short and/or long run.	**2-3 — Good**
1	**1 — Limited** Short run (AD) only.	**1 — Limited** Demand side only.	**1 — Limited**
0	**0**	**0**	**0**

Indicative content (answer is reversible):

AO2: £127bn announced public investment; £88bn estimated GVA over 60 years (revised down); 34,000 direct + 53,000 indirect jobs supported; 95% UK contracts; 60% SME suppliers; 32-minute journey time saving; +220% cost overrun on HS2; UK productivity flatlined since 2007 below 2.3%/year trend.

AO3 — Real GDP: Short run: increase in AD via G and I plus the multiplier (£127bn injection → 34,000 + 53,000 jobs → consumption rises). Long run: increase in LRAS through better transport infrastructure, reduced geographic immobility, capital deepening as firms locate near improved links.
Unemployment: 87,000 jobs in construction and supply chain. The 95% UK content and 60% SME share help distribute employment benefits across the UK economy, particularly in former industrial regions targeted by Levelling Up.

Inflation: Short run: large G and I push AD right, demand-pull inflation possible (especially in construction labour markets where skill shortages are acute). Long run: productivity improvements reduce unit labour costs, putting downward pressure on inflation.
Balance of Payments: 95% UK contracts retain spending domestically. Improved transport infrastructure can support exports of UK services from northern cities, improving the current account in the long run.

AO4: Real GDP gains depend on whether productivity improvements actually materialise — given the 220% cost overrun and downwards GVA revision to £88bn, realised net benefit is now well below the £127bn cost. Crowding out — large public borrowing may raise interest rates and displace private investment.
Unemployment: construction skill shortages mean many of the 34,000 direct jobs may go to migrant workers, limiting benefit to UK-resident workers. Jobs are temporary — what happens to construction workers once the projects finish?
Inflation: construction wage inflation has been a persistent problem; tight skill markets may push wage costs across construction up sharply. The investment is financed by borrowing at a time when public debt is already at 100% GDP — debt servicing costs rise.
Balance of Payments: depends on whether productivity spillovers translate into exports — UK service sector is already strong but goods exports remain weak.
Judgement: The programme is likely net positive in the long run if executed well, but the HS2 cost overrun and GVA revision suggest realised benefits will be well below initial promises. Demand-side gains in the short run are real but small relative to the cost. The long-run supply-side gains (productivity, regional rebalancing) are the main justification but depend on disciplined project management. Overall the programme is a mixed bag — large public investment in productivity is needed, but the UK's track record on infrastructure delivery is poor. Reform of project appraisal and procurement is essential to realise the gains.

Q.2 (a)(i) Using a PPF diagram, illustrate the impact of an ageing population on an economy that produces healthcare services and consumer goods. [2]

Mark	AO1
2 marks	Accurate drawing showing the original concave PPF with a point shifted along it (reallocation toward more healthcare and fewer consumer goods), OR an inward shift showing reduced productive capacity due to shrinking workforce. Either is creditable if clearly explained.
1 mark	A drawing of a PPF without showing the impact.
0 marks	For drawing just axes, or PPF drawn incorrectly.

Indicative content: Concave PPF with healthcare services on one axis and consumer goods on the other. An ageing population raises demand for healthcare, leading to a movement along the PPF from point A (more consumer goods) to point B (more healthcare, fewer consumer goods) — illustrating opportunity cost. Alternatively, a shrinking workforce reduces productive capacity, shifting the entire PPF inward.

Q.2 (a)(ii) Using an AD/AS diagram, explain how expansionary monetary policy can be used to stimulate economic growth following the COVID-19 recession. [6]

Band	AO1 (2 marks) Diagram correct?	AO1 (2 marks) Monetary policy understood?	AO3 (2 marks) How it stimulates growth?
2	**2 — Good** Accurate integrated AD/AS diagram showing rightward shift in AD due to expansionary monetary policy.	**2 — Good** Full understanding of at least two transmission mechanisms.	**2 — Good** Developed analysis.
1	**1 — Limited** Diagram has errors or not integrated.	**1 — Limited** Partial understanding (e.g. only cost of borrowing).	**1 — Limited**
0	**0**	**0**	**0**

Indicative content:

AO1: Diagram shows AD shifting right (AD1 → AD2) with price level rising (P1 → P2) and real GDP rising (Y1 → Y2). Expansionary monetary policy in the COVID-19 response: Bank Rate cut to 0.1% and £450bn of additional QE.

AO3 — Transmission mechanisms:
Consumption: Lower interest rates reduce the cost of borrowing on credit cards and loans, encouraging credit-financed spending. Lower mortgage costs increase discretionary income for households on variable-rate mortgages. Lower returns on saving encourage consumption over saving (lower MPS).
Investment: Lower business loan costs make more investment projects financially viable (IRR exceeds the cost of capital). QE injects new central bank reserves into banks, encouraging additional lending. £450bn QE is particularly aimed at this channel.
Asset prices: Lower rates raise house and share prices, creating positive wealth effects that boost consumption (Pigou effect). QE bond purchases push bond yields down, pushing investors into riskier assets (portfolio rebalancing).
Exchange rate: Lower rates reduce demand for sterling (hot money outflows), depreciating the pound. Cheaper exports and dearer imports improve net exports (X-M).
Confidence: Aggressive monetary easing signals central bank support, raising consumer and business confidence and animal spirits during the COVID crisis.
Combined: AD1 → AD2, Y1 → Y2 (recovery from COVID recession). Mild inflation as P1 → P2.

Q.2 (b)(i) Using the data, describe how the proposed NHS capital investment programme and pharmaceutical R&D; tax credits could decrease negative externalities. [4]

Band	AO1 (2 marks) Decrease in negative externalities understood?	AO2 (2 marks) Data used?
2	**2 — Good** Understanding of negative externality and decrease.	**2 — Good** Use of BOTH NHS capital investment AND pharma R&D; credits.
1	**1 — Limited**	**1 — Limited** ONE measure used.
0	**0**	**0**

Indicative content:

AO1: A negative externality occurs when production or consumption causes a harmful spillover to third parties. Reducing the spread of disease, hospital-acquired infections or environmental pollution from the NHS estate decreases negative externalities affecting wider society.

AO2: The £36bn NHS capital investment programme upgrades hospitals and diagnostic equipment. Modern, well-ventilated buildings reduce hospital-acquired infections (a negative externality to other patients and visitors). Earlier diagnosis reduces the spread of communicable disease through quicker treatment — directly decreasing externalities to third parties. New facilities are more energy-efficient, reducing the carbon emissions of the NHS (the NHS accounts for ~5% of UK emissions). Pharmaceutical R&D; tax credits stimulate the development of vaccines and antibiotics with strong positive externalities, but also reduce negative externalities — better vaccines reduce disease transmission, slowing pandemics and reducing the global spillover of infectious disease.

Q.2 (b)(ii) Using the data, describe how the proposed NHS capital investment programme and pharmaceutical R&D; tax credits could increase positive externalities. [4]

Band	AO1 (2 marks) Positive externalities understood?	AO2 (2 marks) Data used?
2	**2 — Good** Of positive externality and increase.	**2 — Good** Use of BOTH measures.
1	**1 — Limited**	**1 — Limited**
0	**0**	**0**

Indicative content:

AO1: A positive externality occurs when production or consumption causes a benefit to third parties, so social benefit exceeds private benefit. A healthier population benefits employers, families and the wider economy.

AO2: The £36bn NHS capital investment programme expands diagnostic capacity, reducing the 7.5m waiting list. Faster treatment returns patients to work, generating positive externalities to employers (lower absenteeism) and the economy (higher productivity, more tax revenues). Improved mental health services benefit families and communities. Better child health spills over into educational attainment and future earnings.
Pharmaceutical R&D; tax credits stimulate innovation in new medicines (e.g. mRNA vaccines, cancer therapies). The classic positive externality of R&D; is knowledge spillovers — one firm's discovery enables further research by others. New medicines improve population health for decades after development, with benefits flowing well beyond the developer. The UK has a strong life sciences cluster (Oxford-Cambridge arc) where positive externalities are particularly large due to agglomeration effects.

Q.2 (c) Using a demand and supply diagram, consider who benefits the most from a decrease in ad valorem VAT on hospitality, the consumer or the firms? [7]

Band	AO1 (3 marks) Diagram	AO3 (2 marks) Impact analysed?	AO4 (2 marks) Debated and judged?
3	**3 — Excellent** D&S; with pivot shift downward and incidence shown for both consumer and producer (or surplus areas).		
2	**2 — Good** D&S; with shift but not pivot, or pivot with one incidence.	**2 — Good** Developed analysis of consumer and producer impact.	**2 — Good** Reasoned judgement with counter arguments.
1	**1 — Limited** Parallel shift only.	**1 — Limited** One side or underdeveloped.	**1 — Limited** Counter arguments superficial.
0	**0**	**0**	**0**

Indicative content:

AO1: Diagram shows pivot shift of supply curve downward (S1 → S2) since VAT is ad valorem (proportional). Price falls from P1 to P2, quantity rises Q1 to Q2. Consumer incidence/benefit = P1 - P2. Firm benefit = P2 - (P1 - full tax cut). Alternatively show consumer surplus and producer surplus areas. The hospitality VAT cut from 20% to 5% is a large reduction.

AO3: When demand is inelastic (e.g. for restaurant dining in town centres with few substitutes during COVID), firms pass less of the cut on (smaller fall in price) and retain a larger share as producer surplus — helping the cash-strapped hospitality sector. When demand is elastic (e.g. for casual takeaway with many substitutes), firms must pass on more of the cut to increase quantity sold, so consumers gain more. Evidence from the 2020 'Eat Out to Help Out' suggests hospitality firms passed on most of the discount but only because the discount was fully visible to consumers — pure VAT cuts may be retained as profit.

AO4: Depends on PED — hospitality has many substitutes (other restaurants, home cooking, supermarket meal deals), so PED is generally elastic, suggesting consumers gain more. Depends on PES — short-run hospitality supply is constrained (restaurant capacity, staff shortages, food cost inflation), so prices fall less and firms gain more in the short run. Depends on competition — independent restaurants in competitive markets pass on more; chains with market power may retain more. The policy aim mattered too — during COVID the policy was deliberately designed to support struggling firms, so producer incidence was a feature, not a bug. Overall, in the immediate aftermath of COVID, hospitality firms likely gained more from the VAT cut (justified on survival grounds); in a normal economy, consumers would gain more due to competitive pressure.

Q.2 (d) Using the data from Table 1, discuss whether the proposed UK tax changes are a good way to raise government revenue. [9]

Band	AO2 (3 marks)	AO3 (2 marks)	AO4 (4 marks)
3	**3 — Excellent** Table 1 used fully.		**4 — Excellent** Reasoned judgement in context.
2	**2 — Good**	**2 — Good** Developed analysis.	**2-3 — Good**
1	**1 — Limited**	**1 — Limited**	**1 — Limited**
0	**0**	**0**	**0**

Indicative content:

AO2: NI increase 12% → 13.25% = £12bn/year; CGT alignment with income tax = £14bn/year; Online sales tax 2% = £3bn/year; ISA cap reform = £2bn/year; Frozen personal allowance (fiscal drag) — substantial silent revenue. Total potential ~£31bn p.a. Public debt has risen to 100% of GDP, the highest since the 1960s, tightening fiscal space.

AO3: The NI increase raises £12bn from a broad base of working-age earners, providing reliable annual revenue — directly linked to employment, so easy to administer through PAYE. CGT alignment with income tax raises £14bn while also closing a tax loophole that distorts behaviour (current 20%/28% CGT vs 45% income tax encourages converting income into capital gains). Online sales tax of 2% raises £3bn while rebalancing competition between online retailers (low business rates) and physical high streets (high business rates). ISA cap reform raises £2bn from those with very high savings — strongly progressive. Frozen tax thresholds raise revenue silently through fiscal drag — over six years this can raise tens of billions without political backlash.

AO4: NI increase is regressive — falls disproportionately on low and middle-income workers (NI not paid on investment income, dividends or pensioners). Reduces incentive to work, may shift activity to self-employment which is taxed less. £12bn estimate may overstate as some workers reduce hours.
CGT alignment is opposed by entrepreneurs — may reduce investment and risk-taking; high-wealth individuals can defer realising gains indefinitely, so £14bn estimate is optimistic. International evidence: countries that aligned CGT with income tax often raised less than projected.
Online sales tax may pass through to consumers (most online retailers will raise prices), undermining the original aim of helping high streets. Administrative complexity — defining 'online' is harder than it appears (click-and-collect, marketplaces).
ISA cap reform may discourage saving, weakening long-run capital formation.
Fiscal drag is regressive — it pushes more low-earners into higher tax bands when inflation rises. Politically efficient but economically distortionary.
Judgement: The proposals raise substantial revenue (~£31bn) which is necessary given public debt at 100% GDP, but the package is regressive overall — NI, fiscal drag and online sales tax all fall heavily on lower and middle-income households. CGT alignment is the strongest proposal as it both raises revenue and improves allocative efficiency. The package as a whole would benefit from additional progressive elements (wealth tax, higher inheritance tax) to balance regressivity. The choice reflects political constraints — direct taxation of high earners is more controversial than fiscal drag.

Q.2 (e) Using the data, discuss whether expanding social care funding or providing free childcare is the best way to reduce income inequality in the UK. [8]

Band	AO2 (2 marks)	AO3 (3 marks)	AO4 (3 marks)
3		**3 — Excellent** Detailed analysis of both.	**3 — Excellent** Reasoned judgement, counter arguments developed.
2	**2 — Good**	**2 — Good** Developed analysis of one OR both.	**2 — Good**
1	**1 — Limited**	**1 — Limited**	**1 — Limited**
0	**0**	**0**	**0**

Indicative content:

AO2: Income inequality in the UK is high — Gini coefficient around 0.36, above the OECD average. Social care: an ageing population means more low-income elderly people face high care costs (£1,000/week residential care), eroding savings and trapping families in poverty. Free childcare: childcare costs in the UK are among the highest in the OECD, with full-time nursery costs of ~£15,000/year per child — locking many parents (especially mothers) out of the labour market.

AO3 — Expanding social care funding: Reduces the share of income that low-income elderly households must spend on care, directly raising disposable income. Removes the 'dementia tax' that disproportionately affects middle and low-income families (the wealthy can afford private care; the poorest get state support; it's middle earners forced to sell homes to pay for care). Frees up informal carers (often women in low-wage jobs) to participate fully in the labour market, raising their incomes. Reduces NHS bed-blocking, with positive labour supply effects.
Free childcare: Removes a major barrier to labour force participation for parents on low and middle incomes. Disproportionately benefits women (who do most childcare) — reduces the gender pay gap. Universal access reduces inequality in early-years outcomes (lower-income children currently get less pre-school education). Long-run human capital improvement raises future earnings and reduces inequality in the next generation.

AO4 — Social care limitations: Benefits flow mainly to the elderly, leaving working-age inequality less affected. Some of the savings would accrue to inheritance — benefiting middle-class children rather than reducing inequality. Risk of supplier-induced demand (more care services demanded than necessary). Expensive — £15bn+ per year, financed through regressive taxes such as NI could offset the inequality reduction.
Free childcare limitations: Universal coverage benefits high-income parents as well as low-income parents, weakening the progressivity. Quality concerns — free provision may be low quality, defeating the purpose. Workforce shortages in early years (nurseries cannot recruit enough staff) limit deliverability. Some stay-at-home parents do not benefit. Childcare alone does not address the underlying drivers of low pay (lack of skills, geography).
Judgement: Free childcare is more powerful for reducing inequality in the long run — it tackles inequality at the root (early-years outcomes, female labour supply, intergenerational mobility). Social care is more important for protecting older people from poverty in the short run, but its effects on overall income inequality are smaller because most of the gains accrue to inheritors. A combined approach is optimal but if forced to choose, free childcare wins on long-run inequality grounds. Both, however, are more effective than tax-side measures alone because they directly raise the productive capacity of low-income households.